ALLIED WORLD ASSURANCE COMPANY (U.S.), INC.

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USA

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To:	Tony Huynh Jencap Specialty Insurance Services Inc 1979 Marcus Ave., Suite 214 New Hyde Park, NY 11042	**Date:**	01/12/2026 tony.huynh@jencapgroup.com
From:	Jessica Reddington	**Account #:**	976020
Re:	Severson Group, Incorporated - ForceField Private Package		

QUOTATION VIA: EMAIL

Quote Expiration Date	02/01/2025	
Insured	Severson Group, Incorporated	
Address	3601 Serpentine Drive Los Alamitos, CA 90720	
Policy Period	**From:** 02/01/2026	**To:** 02/01/2027

Quote #	1

Coverage Sections and Premium		
Liability Coverage Section		**Premium**
☒	Directors and Officers Liability Coverage Section	$32,686
☒	Employment Practices Liability Coverage Section	$30,642
☒	Fiduciary Liability Coverage Section	$11,162
☐	Employed Lawyers Liability Coverage Section	N/A
☐	Crime Coverage Section	N/A
☐	Kidnap and Ransom/Extortion Coverage Section	N/A
	Total Policy Premium	**$74,490**

Limit of Liability and Retention For Each Coverage Section (Other than the Crime and Kidnap and Ransom/Extortion Coverage Sections)			
Coverage Section	**Separate Limit of Liability**	**Shared Limit of Liability**	**Retention***
Directors and Officers Liability Coverage Section	$5,000,000		All Claims: $25,000
Employment Practices Liability Coverage Section	$5,000,000		All Claims: $150,000
Third Party Liability Coverage Sublimit of Liability	Included		
Fiduciary Liability Coverage Section	$5,000,000		All Claims: $0

** With respect to all Coverage Sections listed above, no Retention amount is applicable to Non-Indemnifiable Loss.*

Aggregate Limit of Liability
$15,000,000

Other Coverage Limits and Sublimits	
Coverage	**Limit of Liability**
Dedicated Excess Coverage for Insured Persons (D&O)	$1,000,000
Sublimit of Liability for	
Derivative Demand Coverage (D&O)	$250,000
Strategic Response Costs Coverage (D&O)	$100,000
Voluntary Compliance Program Coverage (Fiduciary)	$100,000
HIPAA Claim Coverage (Fiduciary)	$100,000
Punitive Damages Coverage Options for D&O and EPL Coverage Sections	
☒ No Punitive Damages Sublimit of Liability for D&O or EPL*	

** With respect to Punitive Damages Coverage, if "No Punitive Damages Sublimit of Liability for D&O or EPL" is selected above, the Limit of Liability for Punitive Damages shall be equal to either the D&O or the EPL Coverage Section Limit of Liability.*

Coverage Dates	
Coverage Section	**Date**
Directors and Officers Liability Coverage Section	Pending or Prior Date: 07/18/1996
Employment Practices Liability Coverage Section	Pending or Prior Date: 07/18/1996
Fiduciary Liability Coverage Section	Pending or Prior Date: 10/14/1991

Discovery Period	
1 Year	150%
2 Years	TBD
3 Years	TBD
4 Years	TBD
5 Years	TBD
6 Years	TBD

Insurer	Allied World Assurance Company (U.S.), Inc. Admitted
Policy Form:	
PP 00006 00 (01/10)	- ForceField Private Package General Terms and Conditions
PP 00009 00 (01/10)	- ForceField Private Package Directors and Officers Liability Coverage Section
PP 00015 00 (01/10)	- ForceField Private Package Fiduciary Liability Coverage Section
PP 00012 00 (01/10)	- ForceField Private Package Employment Practices Liability Coverage Section
Declaration Form :	
PP 00003 00 (01/10)	- ForceField Private Package Declarations
Premium Due Date	30 Days from effective date of policy

Endorsements

1. PN 9001 CA (01/15) - Terrorism Policyholder Notice
2. PP 00028 04 (03/12) - California Amendatory Endorsement (Professional Liability Coverages)

3. PP 00032 00 (01/10) - Absolute Bodily Injury Property Damage Exclusion (EPL)
4. PP 00033 00 (01/10) - Absolute Bodily Injury Property Damage Exclusion (D&O)
5. PP 00122 00 (01/10) - Add Specific Plan(s) - Subject to Specific Pending or Prior Dates Sublimits and Increased Retentions (FID: Millie and Severson, Incorporated Employee Savings & Stock Ownership Plan; October 14, 1991; $5,000,000 Sublimit; $25,000 Retention)
6. PP 00129 00 (05/11) - Fair Labor Standards Act Coverage, Defense Costs Only - Subject to Retention and Sublimit ($50,000 Sublimit; $150,000 Retention)
7. PP 00132 00 (05/10) - OFAC Exclusion (Office of Foreign Assets Control)
8. PP 00133 00 (05/10) - Pre-Approved Crisis Management Firm (D&O)
9. PP 00152 00 (08/11) - Endorsement Schedule
10. PP 00180 00 (12/12) - Anti-Trust Exclusion - Insured Persons Carveout (D&O)
11. PP 00253 00 (10/16) - IRCA Violation Notice Coverage with Retention and Sublimit (EPL: $100,000 Sublimit, $50,000 Retention)
12. PP 00278 00 (10/16) - Settlor Capacity Endorsement - Defense Costs Only; Sublimit Applies (FID: $5,000,000 Sublimit)
13. PP 00465 00 (04/18) - Private Company Management Liability Package Policy (All lines: per expiring; includes $1M additional defense outside the limit)
14. PP 00877 00 (04/23) - Employee Privacy Wrongful Act Endorsement - Includes Biometric Data And Failure To Obtain Consent Defense Costs Only Sublimit Applies (EPL: $25k sublimit -)
15. Z-PP 00196 00 (04/20) - Rate Cap Endorsement (EPL: Partners $315, Associates $285, Paralegals $130)
16. Z-PP 00208 00 (07/20) - Workplace Violence Coverage Section (Shared with EPL: $100,000 Sublimit, $50,000 Retention -
17. Z-PP 00223 00 (10/20) - Amend Limits of Liability - Tie-In of Limits Between Coverage Sections; Employee Stock Ownership Plan (D&O/FID)

Subjectivities
Quotation subject to Insurer's receipt, review and acceptance of:
1. Has the applicant experienced changes to its Board of Directors or to its Key Executives over the past year? If yes, please provide date, position and reason.

California Residents: For information relating to the California Consumer Privacy Act, please go to the following link: https://alliedworldinsurance.com/usa/

TERMS AND CONDITIONS
This quote is strictly conditioned upon no material change in the risk, including a submission being made to the insurer of a claim or circumstance that might give rise to a claim, between the date of this quote and the policy inception date. In the event of such a change in risk, the insurer may, in its sole discretion, amend or withdraw this quote

All other terms and conditions as per our Policy Form and any applicable endorsements referenced herein.

Thank you for choosing Allied World Assurance Company (U.S.), Inc. a member company of Allied World Assurance Company Holdings Ltd.

POLICYHOLDER DISCLOSURE STATEMENT
UNDER THE TERRORISM RISK INSURANCE ACT

The Insured is hereby notified that under the federal Terrorism Risk Insurance Act, as amended, (the "Act"), the Insured has a right to purchase insurance coverage for losses arising out of an Act of Terrorism, as defined in Section 102(1) of the Act: The term "act of terrorism" means any act that is certified by the Secretary of the Treasury in consultation with the Secretary of Homeland Security and the Attorney General of the United States to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside of the United States in case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion. The Insured should read the Act for a complete description of its coverage. The decision to certify or not to certify an event as an Act of Terrorism covered by this law is final and not subject to review.

The Insured should know that where coverage is provided by this policy for losses caused by a Certified Act of Terrorism may be partially reimbursed by the United States Government under a formula established by federal law. However, the insured's policy may contain other exclusions that might affect coverage, such as an exclusion for nuclear events. Under the formula, the United States generally reimburses 85% through 2015; 84% beginning on January 1, 2016; 83% beginning on January 1, 2017; 82% beginning on January 1, 2018; 81% beginning on January 1, 2019; and 80% beginning on January 1, 2020, of covered terrorism losses exceeding the statutorily established deductible that must be met by the Insurer, and which deductible is based on a percentage of the Insurer's direct earned premiums for the year preceding the Act of Terrorism

Be advised that the Terrorism Risk Insurance Act, as amended, contains a $100 billion cap on all losses resulting from Certified Acts of Terrorism. If aggregate insured losses attributable to Certified Acts of Terrorism exceed $100 billion in a calendar year the United States Government shall not make any payment for any portion of the amount of such loss that exceeds $100 billion. If aggregate insured losses attributable to Acts of Terrorism exceed $100 billion in a Program Year and the Insurer has met its deductible under the Act, the Insurer shall not be liable for payment of any portion of the losses that exceeds $100 billion, and in such case, insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

Coverage for "insured losses" as defined in the Act is subject to the coverage terms, conditions, amounts and limits in this policy applicable to losses arising from events other than Acts of Terrorism.
Please see the options available to the Insured below.

- The portion of your annual premium that is attributable to coverage for acts of terrorism is $327.00. If you, the Insured, **elect to purchase coverage** in accordance with the Act, **no further action or response is needed by you**.

- If you, the Insured, reject coverage in accordance with the Act, you must check below and sign and return this form to the Insurer.

☐ I HEREBY REJECT THIS COVERAGE.

_____
Signature of Insured

_____ 0311-7096
Print/Title

_____
Date